After dividing Pakistan in 1971 and establishing a democratically elected Bangladesh government under Sheikh Mujibur Rahman, the R&AW began to strengthen and spread its influence in other areas of conflict. India decided to withdraw its army and other officials from Bangladesh in 1972 and the R&AW's task was to bring back the Indians to Delhi, leaving only diplomats in Dhaka for backroom negotiations to help the newborn country in dealing with the ever-changing security dynamics of South Asia. Unfortunately, India's decision to pull out left Bangladesh open to a security nightmare in 1975 that forced the R&AW to fight a covert war for decades.

On 15 August 1975, while India celebrated Independence Day, a group of Bangladesh Army officers reportedly led by one Major Dalim successfully staged a coup d'etat in Dhaka by storming Sheikh Mujib's house. They killed Mujib and his immediate family, as well as his two nephews—the influential Sheikh Moni of Bangladesh Times and Sahidul Islam, secretary of the Jatiya Chhatra League and Mu-jib's brother-in-law Abdur Rab Serniabat, who was the country's minister for water development. Sheikh Hasina, Mujib's daughter and the prime minister of Bangladesh today, was fortunately in Germany on that day and she was brought safely to Delhi by R&AW agents. Spies stationed far away in Poland were shocked. Sheikh Mujib had been expected to visit Warsaw between 15 and 18 September that year. Polish foreign officials could not understand why the Indian spies had not been able to foresee or influence the coup that slaughtered sixty-five of Mujib's relatives and followers.

The R&AW believed that Major Dalim, a freedom fighter of 1971, had personal vendetta against Sheikh Mujib, blaming the prime minister for his dismissal and that of twenty-seven other